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Feed-in Tariffs (FIT)

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Feed-in Tariff Annual Levelisation Process (2019-2020)

On 1 October 2020, the annual reconciliation process for the Feed-in Tariffs (FIT) scheme covering the period 1 April 2019 to 31 March 2020 was successfully completed. The annual process reconciled all payments made as part of the quarterly processes within the tenth year of the FIT scheme.

A total of 274,323,496.976 MWh of electricity supplied was reported by Licensed Electricity suppliers during this annual period. A further addition of 358,471.435 MWh was made for suppliers who exited the market within the FIT year. This included a total claim of 38,136,949.000 MWh of exempt supply, although due to an annual cap of 10,804,065.074 MWh for the 2019-20 period, only the capped value was used. A total of 11,232,851.232 MWh was reported for Energy Intensive Industry exemption, with 8,962,392.487 MWh of this being claimed by Suppliers. As a result, the Total Relevant Electricity Supply was 254,915,510.85 MWh.

The total Levelisation Fund for the year was calculated at £1,539,682,298.18. This figure represents the cost of the scheme during the annual period, and consists of the Total Generation Payments (£1,501,082,684.10), Export (Deemed) Payments (£58,010,401.74), Export (Metered) Payments (£28,623,645.69) and Qualifying (administration) Costs (£18,002,550.00), minus the Value of Deemed Export to licensed electricity suppliers (£45,558,769.72) and minus the value of Metered Export to licensed electricity suppliers (£20,478,213.63)

A total of £1,587,716,731.53 was reported by FIT Licensees as having been made to installations registered under the scheme. This figure includes a total of £1,501,082,684.10 of renewable Generation payments and £86,634,047.43 of Metered and Deemed Export payments.

In order to complete the annual reconciliation process, a total of £56,958,584.056 was due to

be paid into the Levelisation Fund by licensed electricity suppliers. The annual levelisation fund experienced a shortfall of £183,597.49. £2,531,303.36 was held by the Authority from late and withheld Levelisation payments throughout Year 10 and this was redistributed within this annual levelisation round. As such, a total of £59,306,289.92 was paid out on 1 October 2020.

Backgroud information:

1. The Feed-in Tariff scheme was introduced on 1 April 2010 to promote the uptake of smallscale renewable electricity generation. It requires participating Licensed Electricity Suppliers (FIT Licensees) to pay tariffs to generators (installation owners) for electricity generated and exported.

2. FIT Licensees are responsible for registering eligible installations, processing generation data, and making payments, while all licensed electricity suppliers are required to participate in Ofgem's levelisation process.

3. The levelisation process is currently a quarterly procedure, with an annual reconciliation process at the end of each FIT year (1 April – 31 March).

4. During each levelisation process all licensed electricity suppliers are required to provide information to Ofgem on how much electricity they have supplied for the relevant period. FIT Licensees are also required to submit information on any FIT payments claimed by generators in this period. Using this data, along with any claimed qualifying (administration) costs, Ofgem calculates the amount owed by licensed electricity suppliers into the Levelisation Fund, based on the electricity supply market share of each supplier in Great Britain, after any relevant exemptions are applied. This allows for the scheme costs to be redistributed evenly among all Licensed Electricity Suppliers. The Levelisation Fund is then redistributed to FIT Licensees that have made more payments than they would be required to by their market share contribution.

5. More detailed information on the Feed-in Tariff scheme for the 2019-20 period will be available on the Year 10 Annual Report.